

24STCV27743 24STCV27743

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Case Number: 24STCV27743 Hearing Date: August 5, 2026 Dept: 507

Tentative Ruling

Judge Rolf M. Treu,

Department 507

HEARING DATE: August 5, 2026 TRIAL DATE: September 8, 2026

CASE: Louis Kim, et al. v. UMRO Realty Corp.,
et al.

CASE NO.: 24STCV27743

MOTION

FOR LEAVE TO FILE A CROSS-COMPLAINT

MOVING PARTIES: Defendants UMRO Realty Corp. dba The Agency and Blair
Chang

RESPONDING PARTIES: Plaintiffs Louis Kim and Jeeun Kim

CASE HISTORY:

10/23/24: Complaint filed.

TENTATIVE RULING:

Defendants

UMRO Realty Corp. dba The Agency and Blair Chang's motion for leave to file a

cross-complaint is GRANTED.

Defendants

are ordered to file and serve the proposed cross-complaint attached as Exhibit B to counsel's declaration within 10 days of the hearing on this motion.

Moving Parties to

give notice.

BACKGROUND

This is an action for fraud. Plaintiffs Louis Kim and Jeeun Kim allege that intended to purchase a family home for themselves and their two daughters, but what Plaintiffs received was an unpermitted illegal structure that continues to be subject to the City of Los Angeles's Order to Comply and uninhabitable. Plaintiffs allege that Defendants made material misrepresentations, and concealed material facts, and engaged in collusion in the sale and purchase of the real property located at 1531 Lindacrest Drive, in Beverly Hills.

Plaintiffs allege that Defendants, including Plaintiffs' own real estate broker, pushed the sale of the Property on Plaintiffs, and in the process, misrepresented and concealed the true condition of the Property and the status of permits, failing to disclose to Plaintiffs that the Property was not, in fact, remodeled in accordance with structural building plans prepared by a licensed structural engineer and approved by the Los Angeles Department of Building and Safety and the Los Angeles Zoning and Planning Department. Plaintiffs allege that Defendants used the unprecedented conditions created by the COVID-19 pandemic as a ruse to assist in the aforementioned bad acts.

Defendants move to file a

cross-complaint against Jordan Randall.

DISCUSSION:

Evidentiary Objections

Plaintiffs'

Objections are OVERRULED.

Request for Judicial Notice

Plaintiffs

seek judicial notice of court filings and rulings in two other cases involving Plaintiffs and the same real estate transaction at issue.

The request

is GRANTED.

Legal Standard

CCP § 428.10 provides

that a party against whom a cause of action has been asserted may file a cross-complaint setting forth: “(b) Any cause of action he has against a person alleged to be liable thereon, whether or not such person is already a party to the action, if the cause of action asserted in his cross-complaint (1) arises out of the same transaction, occurrence, or series of transactions or occurrences as the cause brought against him or (2) asserts a claim, right, or interest in the property or controversy which is the subject of the cause brought against him.” (CCP § 428.10(b).) A party shall obtain leave of court to file a cross-complaint if it is not concurrently filed with the answer or at any time before the court sets a trial date. Leave may be granted in the interest of justice at any time during the course of the action. (CCP § 428.10(c).)

If a cross-complaint is

compulsory, leave must be granted as long as the cross-complainant is acting in good faith, so as to avoid forfeiture of the causes of action. (C.C.P. §426.50; See *Silver Organizations, Ltd. v. Frank* (1990) 217 Cal.App.3d 94, 101 (concluding that the late filing of the motion to file a compulsory cross-complaint absent some evidence of bad faith is insufficient evidence to support denial of the motion).) To be considered a compulsory cross-complaint, the related cause of action must have existed at the time defendant served its answer to the complaint. (Weil & Brown, *California Practice Guide* (2008), *Civil Procedure Before Trial* §6:516; See also *Crocker Nat'l Bank v. Emerald* (1990) 221 Cal.App.3d 852, 864.) If the cross-complaint is not compulsory, but rather is permissive, the Court has sole discretion whether to grant or deny leave. (Id.)

“A party who fails to

plead a cause of action subject to the requirements of this article, whether

through over-sight, inadvertence, mistake, neglect, or other cause, may apply to the court for leave to amend his pleading, or to file a cross-complaint, to assert such cause at any time during the course of the action.” (CCP § 426.50.) The Court shall grant such a motion if the moving party acted in good faith. (CCP § 426.50.)

The determination that the moving party acted in bad faith must be supported by substantial evidence. (Foot's Transfer & Storage Co. v. Superior Court (1980) 114 Cal.App.3d 897 (evidence insufficient to support trial court's denial of motion to file cross-complaint notwithstanding that defendant waited 23 months after service of complaint and 16 months after filing answer before asserting right to file cross-complaint, where nothing in record suggested that defendant was unusually reprehensible with regard to delay, plaintiff waited for two years to file action, and plaintiff's counsel equivocated concerning stipulation allowing the filing of cross-complaint at same time counsel conducted discovery concerning the claim defendant sought to assert in the cross-complaint).)

At minimum, a very strong showing of bad faith on the part of the defendant is required before a court will be justified in denial of leave to file or amend a cross-complaint. (Sidney v. Superior Court (1988) 198 Cal.App.3d at 710, 718.) The burden of showing bad faith rests on the party opposing the allowance of the cross-complaint. (Silver Organizations, supra, 217 Cal.App.3d 94.)

A determination that the petitioner acted in bad faith may be premised on “substantial injustice or prejudice” to the opposing party. (Foot's Transfer & Storage Co., supra, 114 Cal.App.3d at 903; See also Gherman v. Colburn (1977) 72 Cal.App.3d 544, 558-59 (stating that leave was properly denied when the defendant's motion “was merely a tactical strategic maneuver to deprive plaintiffs of a right to a jury trial”).)

Motion for Leave to File a Cross-Complaint

Defendants move to file a cross-complaint for equitable indemnity against Jordan Randall, who is the

seller of the property at issue, arguing that through the parties' participation in mediation, Plaintiffs produced the judgment entered in the matter *Jordan Randall, et al. v. Louis Kim, et al.*, Los Angeles Superior Court Case No. 24SMCP00246 ("Randall Lawsuit"). Defendants argue that the judgment specifically found no fault against Defendants, while finding against Randall. Thus, Defendants contend that they have a cause of action against Randall for indemnity.

The Court finds that the cross-complaint is compulsory because it arises out of the same transaction, namely, the real estate transaction at issue. Compulsory claims are those that are "related" to the suit in which the cross-complaint is brought, and a "related cause of action" is one that "arises out of the same transaction, occurrence, or series of transactions or occurrences as the cause of action which the plaintiff alleges in his complaint." (*ZF Micro Devices, Inc. v. TAT Capital Partners, Ltd.* (2016) 5 Cal.App.5th 69, 81.) Courts interpret the "relatedness" prong broadly. (*Id.*) "Cross-complaints for comparative equitable indemnity would appear virtually always transactionally related to the main action." (*Time for Living, Inc. v. Guy Hatfield Homes* (1991) 230 Cal.App.3d 30, 38.) Thus, there must be substantial evidence that Defendants have acted in bad faith to justify a denial of their motion to file a cross-complaint.

In Opposition, Plaintiffs argue that Defendants have been fully aware of Randall and the arbitration award that was issued against him. Plaintiffs argue Defendants were the realtors on both sides of the transaction and knew of Randall's involvement in the transaction before the transaction closed. Further, Plaintiffs argue, before this lawsuit even commenced nearly two years ago, Defendants produced documents in the earlier arbitration between Plaintiffs and Randall, were deposed in that Randall arbitration, entered agreements with Plaintiffs to toll Plaintiffs' claims against Defendants pending the Randall arbitration, testified at the Randall arbitration hearing, and were given a copy of the initial judgment against Randall—all before Plaintiffs filed their Complaint in this case in October 2024.

Then, Plaintiffs argue, after this lawsuit commenced, Defendants twice unsuccessfully tried to relate and consolidate this action with the Randall action where Randall and Plaintiffs filed competing motions to vacate and confirm the arbitration award. And in their March 2025 responses to

Plaintiffs' Form Interrogatories, Defendants themselves referenced the Randall arbitration and accompanying award, stating their knowledge that Plaintiffs prevailed against Randall, that judgment was entered against him, and that "[t]he award to Plaintiff[s] is valued over \$6,785,000."

Plaintiffs argue that allowing the proposed cross-complaint would unnecessarily complicate this action and possibly inject issues concerning another lawsuit that are collateral to Plaintiffs' claims, and critically, require considerable additional discovery and upset preparations for trial just over month before trial is set to start. The Court should reject introducing the cross-complaint to this lawsuit on the eve of trial, which would inflict substantial prejudice on Plaintiffs and their ability to have their claims tried to a jury on September 8, 2026.

However,

a late filing of a motion for leave to file a compulsory cross-complaint is not sufficient to support denial of the motion absent some evidence of bad faith. A finding of bad faith requires evidence of "dishonest

purpose, moral obliquity, sinister motive, furtive design, or ill will." (Silver Orgs, supra, 217 Cal.App.3d at p. 100.) Evidence of oversight, inadvertence, neglect, or mistake is, by itself, insufficient to establish bad faith. (Id. at 99; see Code Civ. Proc., § 426.50.) The Court finds that there has been no showing of bad faith, and Plaintiffs do not even argue there was bad faith.

The petitioner in *Foot's Transfer & Storage Co. v. Superior Court* (1980) 114 Cal.App.3d 897 waited 23 months after

service of the complaint, and 16 months after it had filed its answer to the complaint, before asserting the right to file a cross-complaint. The court stated that it had "no doubt that petitioner...as defendants are sometimes wont to do, engaged in as much delay in this litigation as possible. But section 426.50 however, expressly mentions a party's

'neglect' as one circumstance under which relief may be given. There is nothing in the record before us which suggests that petitioner was unusually reprehensible in this regard." (*Foot's*

Transfer & Storage Co. v. Superior Court (1980) 114 Cal.App.3d 897.)

Even assuming Defendants did not bring this motion due to neglect, section 426.50 expressly mentions neglect as one circumstance under which relief may be given here. Plaintiffs cite to caselaw which is relevant to amending answers and permissive cross-complaints, which are not at issue here.

As noted above, this is a compulsory cross-complaint.

Further in Reply, Defendants point out that the judgment for the Randall action was not entered until February 2026.

CONCLUSION:

Accordingly, Defendant's motion for leave to file a cross-complaint is GRANTED.

Defendants are ordered to file and serve the proposed cross-complaint attached as Exhibit B to counsel's declaration within 10 days of the hearing on this motion.

Moving Parties to give notice.

IT IS SO ORDERED.

Dated: August 5, 2026 _____

Rolf
M. Treu

Judge
of the Superior Court

Any party may submit on the tentative ruling by contacting the courtroom via email at by no later than 4:00 p.m. the day before the hearing. All interested parties must be copied on the email. It should be noted that if you submit on a tentative ruling the court will still conduct a hearing if any party appears. By submitting on the tentative you have, in essence, waived your right to be present at the hearing, and you should be aware that the court may not adopt the tentative, and may issue an order which modifies the tentative ruling in whole or in part.